

had approached 20 percent, and from there the interest rates went lower. I say this with all due respect, but Mr. Kaufman appeared to have made an error.

Every forecaster can be wrong from time to time, and I assumed from his reputation that Mr. Kaufman was mostly right. Unfortunately, the famous speech in which he correctly predicted a break in interest rates in 1982 was missing from my packet. In my material, there was a big gap between the erroneous April 1981 forecast already cited and the February 1984 speech Mr. Kaufman gave at a financial-outlook conference in New York. There again, he predicted that "short- and long-term interest rates will move up in nearly lockstep." On May 4, 1984, he told a group of Texas bankers that interest rates would move "spectacularly higher," and warned that the Fed soon would be "forced to respond to the flaring of inflation."

Hindsight again is 20/20, but we now know that interest rates didn't go higher but lower, there was no flaring of inflation, the Fed didn't assert itself with monetary restraint and, in fact, did the reverse. In spite of a slight rise in interest rates in the middle of that year, the overall trend was down. Just about the time of Mr. Kaufman's assertions to the Texas bankers, long bonds topped out and the yields began to fall.

In October 1984, Mr. Kaufman gave another speech to the annual bond conference at the New York Hilton. Here he never confided that he'd personally missed the sharp bond rally and decline in interest rates since midsummer, yet he explained in great detail the reasons these events occurred. He called this effort "interest rates: the cyclical perspective." In the end, he warned once more that lower interest rates were a "pleasant interlude" and higher rates would surely follow.

It's easy to second-guess, and we now realize that 1985 brought lower interest rates, a sluggish economy, and more mergers and acquisitions than anybody could have imagined. Mr. Kaufman, unfortunately, stuck to his old story. On May 22, 1985, speaking in New Orleans, he again foretold the bottoming out of interest rates, the economic resurgence, and so forth. In the middle of that summer, he told the Swiss-American Chamber of Commerce in Zurich that the bonds had already seen their best days, and